A Lease Offer For

CAFE MARY GRACE

Proposed By:

MA. KARLENE H. MENIANO
Assistant Manager, Commercial Leasing
LIMA Estate, Aboitiz InfraCapital

ROB DEL ROSARIO
Head of Operations, Commercial Luzon
LIMA Estate, Aboitiz InfraCapital

Lima Land, Inc.

* * *

Bldg. B, Lima Square, Business Loop,
Lima Technology Center, Special Economic Zone,
Malvar Batangas 4233

July 04, 2022

MR. ADRIAN P. DIMACALI
Authorized Signatory
MR. GABRIEL DIMACALI
Authorized Signatory
MARY GRACE FOODS INC.
Lot 25 & 27 Marian Road 2, Marian Business Park
Barangay San Martin De Porres
Parañaque City, Metro Manila

Dear **Mr. Adrian and Mr. Gabriel,**

We are pleased to present to you an offer for a space at **The Outlets at Lipa**.

On the attached Offer Sheet, you will find additional details pertaining to the Terms of Reference.

Should you find this offer acceptable, kindly sign in the space provided on the Offer Sheet and return one (1) copy to us on or before **July 08, 2022.**

For any clarifications, comments or requests to conduct site inspection, please feel free to contact us at *0977-820-4854.*

Sincerely yours,

MA. KARLENE H. MENIANO
Assistant Manager, Commercial Leasing
LIMA Estate, Aboitiz InfraCapital

ROB DEL ROSARIO
Head of Operations, Commercial Luzon
LIMA Estate, Aboitiz InfraCapital

OFFER SHEET

This document is meant to indicate our confirmation and agreement to the Terms and Conditions as herein stated for the purpose of reserving the indicated unit/s and is subject to Lessor's FINAL APPROVAL. Prior to Lessor's FINAL APPROVAL, a first-come-first-served policy shall remain in effect over the unit.

1. Basic Terms and Condition

Lessor	Lima Land, Inc.
Lessee	Mary Grace Foods Inc.
Outlet Name	Cafe Mary Grace
Proposed Location	Block E - Units F01, F02, R02 + Hallway located within The Outlets at Lipa, LIMA Estate, Lipa, Batangas (*Please refer to attached layout)*
Area[1]	Inline: approx. 222.86 sqm Subject to area remeasurement upon Turnover Date
Use of premises[2]	Food & Beverages
Turnover Date[3]	February 01, 2023
Fit-out Period[4]	February 1, 2023 - May 31, 2023
Lease Term	Three (3) Years; Renewable upon mutual agreement of both Parties
Lease Commencement Date **Lease Expiration Date**	June 01, 2023 May 31, 2026
Monthly Lease Rent *VAT exclusive & Inclusive of Expanded withholding tax*	Year 1 - June 01, 2023 – May 31, 2024 Fixed Rent Php 450.00 per sqm or 5% POS *whichever is higher Year 1 - June 01, 2024 – May 31, 2025 Fixed Rent Php 495.00 per sqm or 5% POS *whichever is higher Year 1 - June 01, 2025 – May 31, 2026 Fixed Rent Php 544.50 per sqm or 5% POS *whichever is higher
Escalation Schedule	10% Annually on the Fixed Rent
Monthly Common Area Maintenance Fee[5]	Php 120.00/sqm plus VAT **CAMFee will be collected starting on Turnover Date, even if the actual turnover is at a later date.*
Utilities and other charges	Electricity, water, LPG (if applicable), generator set, and tower signage charges will be charged to the merchant based on actual consumption. Installation of sub-meters for said utilities shall be for the account of the Lessee Payment of services and other public services (i.e. Telco, CATV, etc.) within the Leased Premises is the sole responsibility of the Lessee.
Marketing Fee	Php 30,000 Annual Fee (Php 2,500 / monthly) plus VAT **Marketing fee will be collected starting on Turnover Date, even if the actual turnover is at a later date.*
Billing Date[6]	Every 25th of the month at the office of the Lessor or its assigns
Payment Due Date	Every 5th of the succeeding month

[1]Area measurement is subject to confirmation upon turnover.
[2]Lessee shall not divert the Leased Premises to other uses without prior written approval from Lessor.
[3]Refer to Requirements Checklist for complete list of requirements to be submitted prior to construction and operations. Turnover date may be extended due to causes beyond the control of the Lessor. In such case, Lessor shall not in any way be liable to the Lessee.
[4]Construction plans and designs must be submitted on or before the Fit-out Date for the Lessor's evaluation and approval. Required are 3 sets of complete architectural, mechanical, electrical, plumbing, and sanitary plans (duly signed and sealed by the Lessee, Lessee's architect and engineer), as well as the colored storefront perspective of your outlet.
[5]Cam fee rate is always subject to periodic review and might increase.
[6]The monthly rental plus applicable value added tax shall be liquidated and paid at the domicile or office of the Lessor or its assigns, without necessity of demand.

Security Deposit[7]	Five (5) months of Fixed Monthly Rent *equivalent to the last five (5) months of Basic Monthly Rent of the final year of the lease term Lessee to issue Post Dated Checks - total deposit payable to six (6) equal monthly PDCs. First PDC should be dated from the signing of lease offer.
Construction Bond[8]	One (1) month of Fixed Monthly Rent To be paid before Start of Construction One (1) month of Basic Monthly Rent at the First Year Term Rate to be refunded ninety (90) days after construction upon rectification of construction deficiency. The Construction Bond may be refunded three (3) months after rectification of all construction deficiencies, POS Hook-up compliance, and issuance of permit to operate and after deduction of construction-related charges A request letter must be sent to the Lessor to start processing of refund.
Bio Augmentation	In compliance with the standards set forth by the Department of Environment and Natural Resources (DENR), The Outlets at Lipa enjoin all Applicable Service Tenants to enroll in the Mall-Wide Bioaugmentation Program (Bacteria seeding to degrade, digest, liquefy grease and fats).
POS Hook-up Compliance ***(Not Applicable)***	Lessee shall provide a daily and monthly sales report for auditing. Lessee should migrate to Lessors accredited POS system after the 2nd year.
PEZA Admin Fees	Lessee is in charge on all-related PEZA Fees, if applicable
Documentary Stamps	Lessee shall take charge in paying the documentary stamp requirements and fees

All fees are VAT exclusive and inclusive of withholding tax
Deadline of confirmation of this offer: July 08, 2022

2. **Permits and Licenses**: The Lessee shall be responsible for securing all the necessary government permits and licenses, and all costs thereof shall be for Lessee's sole account. All taxes imposed on the receipt of rentals as well as the documentary stamp taxes accruing by reason of the execution of the contract shall be for the account of the Lessee.

3. **Submission of Plans**: Lessee's shall submit to Lessor for evaluation and for approval, three (3) sets of complete architectural and engineering plans and signage plan of Lessee's outlet. This should be duly signed by Lessee, Lessee's architect and engineer. Lessee is also required to submit a colored perspective of the outlet for evaluation and approval.

4. **Board Up**: All Leased areas must be properly boarded up and cost thereof shall be to the account of the Lessee. Graphic designs in the form of banners, posters or paintings on the entire board are highly encouraged. Design of which shall be submitted to the Lessor's office for evaluation and approval.

5. **Cancellation:** Lessee shall be able to operate on the rental commencement date specified above, otherwise, Lessor shall have the right to unilaterally cancel this offer and all deposits received by Lessor will not be refunded should Lessee fail to comply with these requirements.

[7]This deposit will be held in trust by Lima Land Inc, and will be credited towards payment of lease rentals or other monetary obligation that may be due to Lima Land Inc. either upon the termination of the lease period or LESSEE has violated the Contract of Lease which shall be executed after the signing of this Offer.

[8]

6. **Turnover Conditions**

Lessor	Lessee
• Floor – rough concrete • Wall – provision for partition • Ceiling – open ceiling (exposure trusses & utilities) • Electrical, sanitary and water stub-out • Fire Protection –sprinkler heads • Movement of Fire Hose Cabinet 1.5 meters from its original position - % Lessor • Utilities for the new service hallway - % Lessor	• Paint/wall finish • Ceiling Design • Glass frontage (12mm tempered glass) • Air-conditioning system • Signage • Fire detection and alarm system • All necessary facilities and utilities exclusive to its use • New Hallway Between R01 and R02 - The stairs to roof will not be relocated. New access hallway will be created in between R01 and R02. Lessee will separate the new cut of their space and new hallway through partition. See annex for layout. • Board Up and Tarpaulin - while waiting for construction and opening, Lessee shall put tarpaulin at the premises with branding of store to promote the brand in the mall.

Upon expiration or pre-termination, the Lessor shall own all structures and improvements constructed or placed in the Leased Premises, including carpets, ceiling tiles, and drywalls, without any compensation due to the Lessee. However, the Lessor, at its own discretion may also require the Lessee to reinstate the Leased Premises to original tenantable condition.

7. **Requirements List**

• Business Plan* • Photos of Products and Applicable Marketing Materials • Perspective of Existing Outlets (Exterior & Interior) • Statement of Account from Previous Lessor • Franchise Endorsement Certificate and Brochures	• Tenant Information Sheet • Certificate of Business Name from DTI • Photocopy of Passport of Authorized Signatory • Photocopy of Community Tax Certificate (CTC) of Signatory • Secretary's Certificate • Board Resolution, duly notarized • SEC (articles by Inc. or by-laws

** The Lessee shall provide the above corporate documents upon signing of lease offer.*
** Includes concept, target market, products/services, market analysis, marketing plan, financials*

8. Other Conditions

PEZA Permits	The building is PEZA-registered. The Lessee must submit its PEZA Certificate, PEZA Registration Agreement, Zero-VAT Rating Certificate and other PEZA-related documents to the Lessor (if applicable). The Lessee shall also be responsible for securing all the necessary government permits and licenses, and all costs thereof shall be for its sole account related to PEZA permits; Application PEZA Admin Fee and Annual PEZA Permit to Locate Fees and among others.
Lease Cancellation	In case of cancellation by the Lessee after the signing of this Offer Sheet, but prior to rental commencement date, Lessor shall have the right to unilaterally forfeit all deposits and payments received.

Pre-termination/Termination	In case of such pre-termination/termination during post rental commencement date, all advance rentals and deposits including the Security Deposit and other fees paid by the Lessee shall be forfeited in favor of the Lessor. The Lessor shall be entitled to collect from the Lessee the rental of the unexpired period of the lease term and the interest and penalty charges due thereon (as applicable).
Confidentiality	It is hereby understood that the Lessor considers the rent due hereunder to be strictly a confidential matter and the Lessee hereby agrees that it shall not include in its invoices to customers any mention of such rent payable to the Lessor. Neither shall without any compensation to the Lessee other terms hereunder be divulged to any other Parties unless otherwise required by law, court order or regulation.
Data Privacy	The LESSEE acknowledges and agrees that, in the course of this Contract, the LESSOR may receive or have access to its Personal Information and/or Sensitive Personal Information. As such, the LESSEE expressly consents to the processing, collection, transmission, storage, disposal, use and disclosure of its Personal Information and/or Sensitive Personal Information by the LESSOR. The LESSEE shall also comply with the requirements under the Data Privacy Act of 2012, and such rules, orders, and regulations as may be issued by the National Privacy Commission ("NPC") in relation to the processing and possession of Personal Information and/or Sensitive Personal Information comprising the Data.

If the Terms and Conditions herein are acceptable to Lessee, kindly signify your interest and conformity by signing each page of this letter and on the space provided below, then return a signed copy of this letter to Lessor on or before July 08, 2022.

We shall be executing a definitive Contract of Lease and Annexes after a signed copy of this letter has been received. Such Contract of Lease shall embody the terms of this agreement, among others. It is understood that the terms herein stated are not exclusive and that other Terms and Conditions governing the lease and operation of an establishment at the Leased Premises shall be included and provided in such Contract of Lease.

Lessee's failure to: (i) return to Lessor a signed copy of this letter on or before the given date, or (ii) pay the security deposit, construction bond and other amount due within the period provided herein (iii) execute a definitive Contract of Lease within sixty (60) days from the release of the Contract of Lease to Lessee or any of Lessee's officers, employees, agents, representatives or any person found within the Leased Premises, or (iv) execute a joint and solidary undertaking in the form that the Lessor prescribes, or (v) strictly comply with any of the applicable above mentioned Terms and Conditions, shall be deemed as an event of default and entitle the Lessor to terminate the lease at any time and consider this Offer Sheet no longer valid, without need of any judicial action or declaration and without prejudice to the Lessor's right to collect the Lessee's outstanding account and avail of any right or remedy which the Lessor may have under the applicable laws, including the right to forfeit all the payments made to the Lessor prior to the termination.

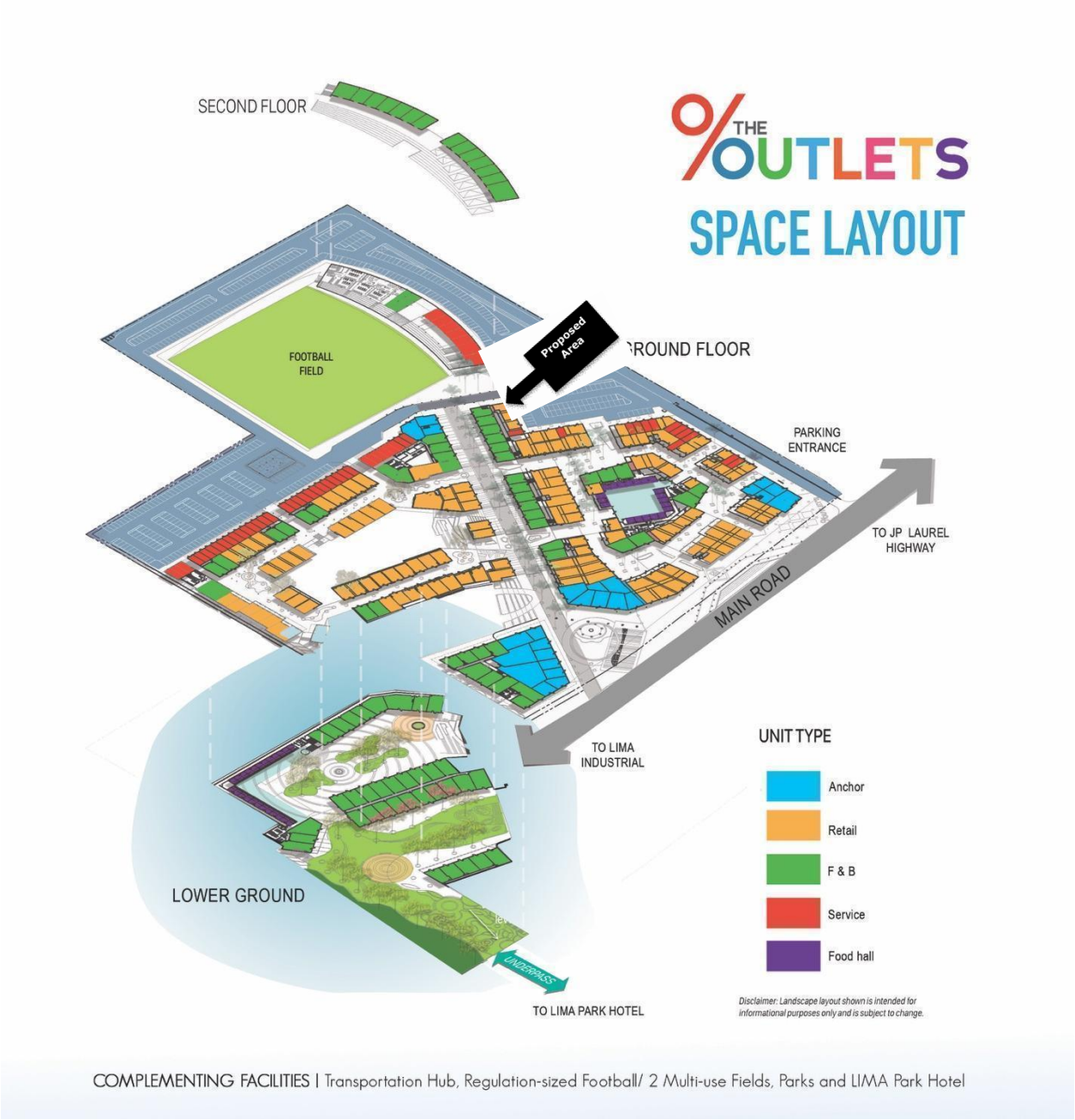


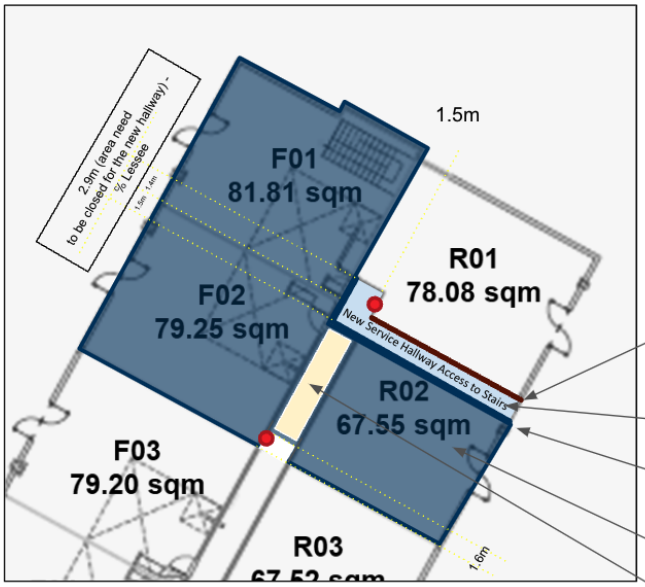
I do hereby acknowledge that I have read and understood the following Terms and Conditions of this Lease Offer:



ADRIAN P. DIMACALI	**GABRIEL DIMACALI**
Date: 17 Jul. 22	Date: _____

Store Name: Cafe Mary Grace
Unit: Block E, Unit F01, F02, R02 + Hallway
Unit Size: **222.86 sqm**





Recommendation:

Hallway between R01 and R02

1. Will not relocate the stairs instead close the area and construct hallway thru RO2 for access. Lessee will separate the new cut through partition.
2. Movement of Fire Hose Cabinet 1.5 meters from its original position - % Lessor
3. Utilities for the new service hallway - % Lessor
4. Total Area (New Cut) - 222.86 sqm
5. Note: While waiting for construction and opening, Lessee shall put tarpaulin at the premises with branding of store to promote the brand in the mall.

Existing CHB Partition from World Balance

New Hallway Area (access to stairs) = 12.6sqm

Partition to separate the new cut of Cafe Mary Grace's space - partition % Lessee

R02 New Area = 54.6 sqm

Hallway Area for CMG = 7.2 sqm